

Theory of Accounts, Tally

Ques.1) what is Tally. ERP 9?

Ans. Tally is a accounting software to record the accounts of day by day business data of a company. Tally. ERP 9 is one of the most popularly used accounting programs in India. Its all-in-one enterprise software is useful for small and medium businesses. Tally. ERP 9 is a business management system and GST software that combines control and inbuilt customization functions. Tally. ERP 9 is the up to date objective of Tally.

Ques 2)How to create a company

Ans.

- 1) Go to gateway of tally
- 2) Press alt+F3 (company information)
- 3) Select option create company
- 4) Add required information.
- 5) Save it (Ctrl+A)

Ques.3)How to delete company.

Ans.1) To delete the company in Tally, you have to click on Alter option in Company Info.

- 2) You have to press ALT + D option with the help of your keyboard
- 3) As soon as you press ALT + D option
- 4) A menu will open in front of you
- 5) You just have to click on the Yes button to delete the company, as soon as you click on Yes, your company will be deleted.

Delete company

- 1) Go to gateway of tally.
- 2) Press Alt+f3.
- 3) Click on Alter option.
- 4) Open your company
- 5) Press on Alt+D
- 7) Show Conformation SMS press yes
- 8) than delete company.

Ques.4)How to shut company.

Ans.

- 1) Go to the gateway of tally
- 2) Press F1 key to shut company

3) Select company to press Ok

Ques.5) How to select company?

- Ans.** 1) Select Company is used to open any company created in Tally.
2) Two positions can be open as soon as the tally is opened. If a company is already open in the first List of Selected Companies, in such a situation, we have to press the F1 key to open another company.
3) Now the List of Companies will come as soon as you press it.
4) The Windows of Company Info will be visible in the second position. Here S or F1 key has to be pressed for Select Company.
5) See the list of companies has arrived, now the company you want to open. Go to it with Down Arrow and press Enter.
6) If you have created many companies in Tally, then type the first word of the name of the company.
7) As soon as you do this, the company starting with that word will be highlighted. After this, go to it with the Up or Down Arrow key and press Enter.
8) By doing this the company will be open. After a company is opened, if you want to open another company, then press the F1 key.

Ques.6) How to change and delete company information of company?

Ans. Alter company

- 1) Go to gateway of tally.
- 2) Press Alt+f3.
- 3) Click on Alter option.
- 4) Open your company
- 5) Change your company information.
- 6) Save your company.

Ques.7) How to create a ledger in tally?

- Ans.1) Go to Gateway of Tally > Accounts Info. > Ledgers > Create (Single Ledger) .
...
2) Enter the Name of the ledger account. Duplicate names are not allowed.
3) Enter the alias of the ledger account, if required. ...
4) Select a group category from the List of Groups. ...
5) Enter the Opening Balance.

Ques.8) what is Account?

Ans. Account is such a process, with the help of which financial transactions are recorded. It is important for any organization and company. So that a record of the transactions done in that organization and company can be kept. Account shows the financial statement of any company.

Ques.9) what is accounting?

Ans. Accounting is such a method of managing the account in which the financial activities of the business are kept recorded by a method. Like business transactions, profit and loss, purchase and sales, company loan, company assets etc. are recorded through accounting.

Ques.10) what is accountancy?

Ans. Accountancy is a rule or principle of accounting which follows all those principles which are used in book-keeping and accounting. Accountancy is a process that helps in managing income and expenses.

Que11) what is book keeping?

Ans. Book-keeping is a part of accounting itself. It starts by identifying Financial Transactions. Meaning by Transaction – The purchase and sale of something, a record of its payments has to be kept. Book keeping is a system in which transactions of financial nature are identified, and they are recorded on a daily basis in a proper and systematic way. It is the primary stage of recording transactions in which only those transactions are recorded which are in monetary terms i.e. related to money whether it is in cash or credit. In this, all the purchases, sales, payments, receipts are recorded and kept up-to-date.

Ques.12) Difference between accountancy and book keeping?

Sr. no.	Base	Book-keeping	Accountancy
1.	Transaction	In this, business transactions are written in primary books.	In this, the entry made in the primary books of the transaction is checked whether it is correct or not.

2.	Recording / posting	Posting is done in the related ledger in the journal or its subsidiary books.	In this the posting is checked whether they are correct or not.
3.	Total/ balances	In this, the total of the journal or ledger is applied and the balance of different accounts is extracted.	From the balances of the accounts (Trial Balance) is created.
4.	Final accounts	Preparation of Final Accounts does not come in its scope.	In this, the main task is to prepare Final Accounts.
5.	Adjustment and rectification	It does not cover the treatment of adjustment and rectification.	This includes the treatment of adjustment and rectification.
6.	knowledge	This work can be done by small employees, so no special qualification is required for this.	It requires special capability and knowledge.
7.	Easy to record	This task is very simple.	This task is a little more difficult than book-keeping.
8.	Account starting and closing	At its end the work of accountancy starts.	In this, we analyze the material prepared under book-keeping.

Ques.13) . What is journal?

Ans. Transactions that happen daily are written in a systematic way date wise and serial wise in the book of accounts, it is called journalizing. This is the primary book to record. Which is also known as Primary Accounts Book? , In this, the entry of all business transactions is written in the correct sequence date wise according to the principles of Double Entry System. Whenever a transaction takes place, it is first recorded in this journal itself, there is also a system to record it, and as the transactions keep happening, it is recorded in the same way

Now how do you record this? There are also some rules on the basis of

which those transactions are recorded, that is, who is to be debited and who is to be credited, all these are done according to the rules.

Format of journal

Date	Particular	L.F	Amount Dr.	Amount Cr.
1/5/2022	Cash a/c dr. To capital a/c (being started business with cash)		10000	10000

There are five columns in the journal

- account to be credited is written in front of the entry to be credited.
Date: This is the first column of the Journal, in which the date in which the transactions are taking place is written. The year is written at the top, then the month and then the date of the transaction is written.
- **Particulars :-** This is an important column, in which the details of transactions are given because two accounts are affected by each transaction, in which one account is debited and the other is credited, next to the account to be debited, the word 'Dr.' The word 'To' is used before it is written, and the second account is credited.
- **Ledger folio:-** The third column of the Journal is of Ledger Folio. This column is made much smaller than the rest of the column, and it is also written as 'L.F.' in short. When all the entries are made in the Journal, then its posting is done in Ledger. In this column the page number is written where Ledger posting of that particular account has been done.
- **Amount Debit :-** The amount is written in this fourth column, in which the amount to be debited is written. In this, care is taken that the amount of the account which is being debited should be written in front of the debit entry only.
- **Amount Credit) :-** In this fifth column, the amount to be credited is written, in which the amount of the

Ques.14) What is subsidiary book?

Ans. Subsidiary Book means to record all the transactions of similar nature at one place. For example, to record all the transactions of cash in a cashbook, there is a separate book for credit purchase, a separate book for credit sale. If a business is small then it is possible that all the transactions of that business are recorded in a single book. If done, then for this the Journal is divided into Sub-Journals which are called Subsidiary Books.

Ques.15) What are the golden rules of accounting?

Ans. Account 3 types के होते हैं.

1. Personal Account
2. Real Account
3. Nominal Account

1) Personal Account :- Personal account includes all those accounts, which are related to any person, bank or organization. We call them (Personal Account). like :-Ashok A/c , ABC pvt. Ltd company A/c, Bank of Baroda A/c etc.

Personal Account:-

Debit the Receiver
Credit the Giver

example-

1. Sold goods worth Rs 5000 to Ram.

In this entry we will focus on Personal Account. In this Personal Account is the account of Ram.

Therefore, Ram is the receiver.

Ram A/c Dr. Will happens.

2. Bought goods from Rajesh for Rs. 5000.

In this entry we will focus on Personal Account. In this Personal Account is the account of Rajesh. Therefore Rajesh is the giver.

Rajesh A/c Cr. Will happen.

2. Real Account :-

Real Account includes all those accounts which are in actual. And those that can be touched. We call them Real Accounts. In other words, the account of cash and goods is the real account.

Eg: Cash A/c, Furniture A/c, Building A/c, and Land A/c all these come under Real Account.

Rules of Real Account :-

Debit what comes in
Credit what goes out

Example-

1. Bought a bike from Rajesh.

In this entry we will focus on Real Account. In this, the account of Real Account Bike is there.

Bike A/c Dr. Will happens.

2. Ram was sold for Rs.5000

In this entry we will focus on Real Account. In this there is an account of Real Account (Goods). That is, so Goods is going from us, so Goods A/c Cr. Will happen.

3. Nominal Account) :-

Under Nominal Account, all the loss & expenses and profit & income are included in the business. Salary A/C, rent A/c, commission A/C ect
All these accounts come under Nominal Account.

Rules of Nominal Account:-

Debit all expenses and losses
Credit all incomes and gains

Example:

1. Ram was given salary. In this entry we will focus on nominal account. In this nominal account is the account of salary. So the salary is going from us. And salary is an exp. That's why Salary A/c Dr. Will happens.

2. Cash rent was received from Rajesh. In this entry we will focus on nominal account. In this nominal account is the account of rent. So we are getting rent, so rent A/c Cr. Will happen

Ques.16 what is ledger? What is its role of ledger in accounting?

Ans. Ledger is called that accounting book in which the record of transaction of money is kept. Nowadays it is also in the form of computer files. In ledgers,

all the transactions are written according to the account in which there are two separate columns of debit and credit.

Roles in accounting

- 1) It records all the transactions related to one account in one place, two accounts of the same name should not be opened because it can be difficult to compare by doing this.
- 2) When we transfer the transaction of an account to Dr. When we record the side, we use the word TO when we call the transaction of an account as CR. If you record side then you use by word.
- 3) When an account has been Dr in the journal, then it will be recorded in the ledger also on the Dr Side. If the account is Cr in the journal, then it will be recorded on the Cr side in the ledger as well.
- 4) It is not necessary to write the word A/c against the name of Personals accounts.

Ques.17) Difference between journal and ledger.

Ans.

<u>Basic</u>	<u>journal</u>	<u>Ledger</u>
<u>Transaction</u>	In the Journal, the daily transactions happening in the business are accounted for.	Whereas accounting is done in the ledger only on the basis of the journal.
<u>Name</u>	Accounting in a journal is called journalizing.	Accounting in Ledger is called posting.
<u>Final account</u>	Final account cannot be created with the help of Journal.	Final account can be created on the basis of ledger.
<u>Record</u>	Every transaction is recorded in detail in the Journal.	Every transaction in Ledger is recorded in a concise form.
<u>Subsidiary book</u>	Journal is a subsidiary book.	Ledger is the principle book.

<u>Error rectification</u>	The accuracy of this account cannot be verified.	Accuracy can be checked with Ledger.
<u>Date</u>	Each transaction in the journal is done date wise and separately.	The records in the accounts are done date wise by classification in the ledger.

Que. 18) What is Discount? Types of Discount.

Ans. The discount which is given by the merchant to his debtors with the aim of getting quick payment is called Discount. In this, discount is entered and it is called nominal account. Its entry is done on the basis of the rules of Nominal Account.

Discounting is the process of determining the present value of a payment or a stream of payments that is to be received in the future. Given the time value of money, a dollar is worth more today than it would be worth tomorrow. Discounting is the primary factor used in pricing a stream of tomorrow's cash flows.

Trade Discount :- This discount is given by the wholesaler to the retailer at the list price. This discount is given to the wholesaler in the form of a fixed percentage, this discount is given when the goods are purchased in bulk or in large quantities. This discount can be given on both cash and credit transactions because it is related to purchase and payment. No. No separate entry of trade discount is done because it is reduced from cash or invoice.

Cash Discount :- The discount which is given for the purpose of getting cash payment from the customers immediately or within a certain period is called cash discount. Cash Discount is definitely done in the record books. This discount is given when the customer makes the payment within a specified time. Such a discount prompts the customer to pay together.

Ques.19) Difference between cash discount and trade discount.

Ans.

Difference Base	Trade discount	Cash discount
Meaning	Trade discount means reduction in the list / dealer price	Cash discount means reduction in the amount of payment receivable

	of the goods while dealing with the buyer of the goods.	from creditor or payable to debtors.
Profit	Order received in Retailer.	First payment received.
Discount Time	This discount is given at the time of purchase	This discount is given at the time of payment.
Books record	No separate entry of trade discount is done	Cash discount is entered separately
Tax	There is no need to pay tax on trade discount.	There is a need to pay tax on cash discount as it will provide tax paid after the sale.

Ques20) What is trial balance?

Ans. Trial balance is the total or list of credit and debit balance drawn from many ledger accounts like bank balance, cash book etc. The rule of trial balance is that the trial balance taken from debit and credit accounts and ledger should be same or equal. Trial balance is a statement showing the names of all the accounts in the ledger and the total or balance of deposits, with a view to checking the rectifications balances of posting in ledger accounts. Trial balance is an important part of the accounting process which shows the final position of all the ledgers and is helpful in making the final statement. Trial balance means checking the balance, checking the balance of the ledgers. Trial balance is made to check whether the balance in the ledger is correct or not. Debit balance and credit balance should be same in trial balance. Trial balance is created in yearend or month end also to check balance of ledgers.

Trial Balance			
As on.....			
Particular	L.F	Dr. Amount	Cr. Amount
Cash		1195000.00	
Capital			125000.00

Office rent		500.00	
Purchase		5000.00	
Salary		6000.00	
Sales			10000.00
Total		<u>135000.00</u>	<u>135000.00</u>

Que.21) Define the method of trial balance?

Ans.

Total Method): –

With the help of the total method, we get the total balance of all ledger's final debit and credit side, which helps to reduce the balance mistake in the final account.

Balance Method:-

With the help of balance method, we have to post all the debit balance shown in the column of “balance” in the statement of ledger in the trial balance column named “debit balance” and keep the credit balance in the column named “credit balance”. Whose help makes it easy to create a final account.

Ques.22) How can we take print out in tally

Ans. Printing Ledger Vouchers

1. Go to Gateway of Tally > Display > Account Books > Ledger.
2. Select the required Ledger. ...
3. Press Alt + P to print Ledger Vouchers, the printing configuration screen appears.
4. Configure the required options in the Print Report screen

Ques.23) Define:

Closing stock creditors, debtors, bad debts, outstanding exp, prepaid exp, invoice, drawings, credit note, debit note

1) Closing stock: Closing stock refers to the goods that remain unsold at the end of the stock year which a company has at the end of the financial period. This list may include products that are or are productive but have not been sold. In this, the quantity of raw material, closing stock helps in determining the total amount.

2) **opening stock:** Opening Stock Trader The available quantity of stock and its cost on the first day of the year is called Opening Stock. If the business is old, then the closing stock of the previous year is automatically considered as the opening stock of the current year. Whereas there is no opening stock in new business.

3) **Creditors:** A creditors can be a bank, supplier, or person who has provided cash, goods, or services to a company and expects to be paid later. In other words, the company gives cash to its creditors and this amount should be reported on the company's balance sheet as either a current liability or a non-current liability.

4) **Debtors:** Debtor's are those person, party, company and organization who have to give money to our company, it is those with whom our business deals in credit, with whom we do not get cash payment while doing business, which has an effect on our balance sheet.

5) **Bad debts:** Bad debts is the amount received from the debtors' which we do not have a chance to receive, its effect falls on our profit and loss account or is less than that of our debtors in the balance sheet.

6) **Outstanding expenses:** Such expenses which are not paid at the end of the year and whose payment is still pending are called Outstanding Expenses. It is a liability for business

7) **Prepaid expenses:** Prepaid expenses are those expenses which are not incurred in the current financial year (from 01/04/_ to 31/03/_) but are paid in a current financial year. In other words, expenses are paid before they are actually incurred. Because we can claim business expenses only in the financial year.

8) **Invoicing:** Invoice is sent to collect money from the costumer. Customer I'd, customer name, order details, address, account information are all written in the invoice. Invoicing is mostly done for online bill payment. Invoice is

available in both soft copy and hard copy. This is given in most of the online business, the invoice is always sent by the delivery man.

9) Drawings: When cash is withdrawn by the owners from the business for their personal use, it is called Drawing, its posting is done in such a way that when in a business the owner of that business is in business on time-to-time for his personal expenses. Cash or Goods from which is withdrawn. So the cash or goods drawn in this way are called Drawings.

10) Credit note: The credit note is sent to collect information that the cash taken in the previous transaction was more than its real market value. Or the tax that was taken was more than the real tax. It is also included in the case of return goods or defective goods.

11) Debit note: Debit note is sent to inform that the cash taken in the earlier transaction was less than its real market value. Or the tax which was charged was less than the real tax. Along with the debit note, a new receipt is also sent by preparing it according to the new price or new tax.

Ques.24) Difference between credit note and debit note?

Ans.

<u>Debit note</u>	<u>Credit note</u>
Debit note is a memo with the buyer which he sends to the seller.	Credit note seller merchant has a memo which he sends to the buyer's.
Debit note buyers send the goods with all the information to the sale merchant while returning the goods.	The credit note seller sends to the buyer's that the return goods have arrived and how much cash has arrived.
Debit note buyers have	Credit note seller is with the merchant
Ctrl+f9	Ctrl+f8

Ques.25) what is financial statement?

Ans. Financial statements are usually prepared at the end of the year. These mainly contain the record of business transactions. There is information related to cash flow, profit, growth etc. of business. In this, information is

provided about the financial position of the company, apart from this, information is given about what is its position in the market. A financial statement usually includes the company's balance sheet, cash flow statement and profit & loss statement, statement of its financial condition etc. This statement is mainly verified by some people of the company. Financial statement is also used by creditors to find out the financial position of a company. Whether to give loan to such businessmen company or not. The financial statement is used by the investors to decide whether it would be right to invest in the company or not.

Ques.26) Define trading accounts and profit and loss accounts?

Ans. Trading Accounts: Trading account is prepared to find out the gross profit of the business in a particular financial year. Trading account is prepared before P&L a/c, it is the first step of final account so it is not dependent on profit & loss account. In Trading Account, account books related to direct expenses and direct income are posted.

Profit & loss Account: At the end of the financial year, when a person creates a Final Account, he first creates a Trading Account and the Gross Profit or Gross Loss that comes out of this Trading Account is then moved to the next Profit and Loss Account.

In Profit and Loss Account all Indirect Expenses are deducted from Gross Profit and all Indirect Income is added to Gross Profit and Net Profit or Net Loss is ascertained. All those expenses are written on the Debit side of the Profit and Loss Account which are not related to the sale / purchase of the goods.

Ques.27) Difference between trading and profit and loss account?

Ans.

Basic	Trading Account	Profit & loss Account
Meaning	Trading account is prepared to find out the gross profit of the business for the particular accounting period.	A profit & loss account or income statement is prepared to find out the net profit/loss of the business for the particular accounting period.

Time	Trading account is prepared before P&L a/c	After trading account, profit & loss account is prepared
object	To know about the gross profit or loss of the business.	To know the net profit or loss of business
Step	This is the first step of the final account.	This is the second step of the final account.
Depend	This is the first statement of the final account, so it is not dependent on the profit & loss account.	It depends on the trading account.
Record	In Trading Account, account books related to direct expenses and direct income are posted.	In profit & loss accounts, account books related to indirect expenses and indirect income are posted.
Balance Transfer	Balance of Trading Account (either gross profit or gross loss will be transferred to profit & loss.	The balance amount of profit & loss accounts will be transferred to either net profit or net loss) balance sheet.

Ques.28) Describe main object of prepare profit and loss account?

Ans.

1. This is the first step before preparing the final account.
2. It is for a fixed time period and is prepared at the end of that period.
3. Accrual Basis of Accounting is formed by the preparation of this account.
4. This account is credited with income and gross profit from other sources and is debited from indirect expenses and losses.
5. The balance of this account is net profit or net loss.
6. Net profit / loss increases / decreases the owner's capital.

Ques.29) What is financial statement analysis? Explain internal and external analysis.

Ans. Meaning of financial statement analysis Financial statement analysis is a systematic process of studying the relationship between the various financial factors contained in the financial statement so as to have a better understanding of the functioning and financial position of the business, isolating the concepts according to some fixed planning in the financial statement, Organizing into groups according to certain circumstances and then presenting them in a convenient and easy-to-read and understandable form.

Internal analysis: The main difference between internal analysis and external analysis is to receive information for analysis. Internal analysis is generally done for the management object. This analysis is done by the workers of the organization itself, who receive all the necessary information.

External analysis:

External analysis means examining a company's industry environment, which includes factors such as competitive structure, competitive position, dynamics and history. On a macro scale, external analysis includes macroeconomic, global, political, social, demographic and technical analysis.

Ques.30) Define terms: gross profit, gross loss, net profit, net loss, balance sheet.

Ans. Gross profit: Gross profit is the profit a business makes after subtracting all the costs that are related to manufacturing and selling its products or services. You can calculate gross profit by deducting the cost of goods sold (COGS) from your total sales.

Gross loss: In Profit and Loss Account all Indirect Expenses are deducted from Gross Profit and all Indirect Income is added to Gross Profit and Net Profit or Net Loss is ascertained.

Net profit: Net Profit means 'Net Profit' such as the total income earned by a company, if the cost of all the total expenses of the company is removed, then it is called Net Profit of the company.

Net loss: In Profit and Loss Account all Indirect Expenses are deducted from Gross Profit and all Indirect Income is added to Gross Profit and Net Profit or Net Loss is ascertained.

Balance sheet: Balance sheet is also called statement of financial positions. It is made in a flow manner so that the financial position of the company can be known accurately at any given point of time. This statement shows what assets the company has and what liabilities.

Ques.31) Explain how you can view the profit and loss statement in tally ERP9?

Ans. 1) Go to Gateway of Tally > Display > Profit & Loss A/c .

- a. Click F1: Detailed to view the Profit & Loss Account in detailed format. ...
- b. Press F2: Period to change the period as required. ...
- c. Click S : Schedule VI in the Schedule VI Profit & Loss A/c, as shown below:

Ques. 32) what are the adjustment entries? Why they are passed?

Ans . After the end of the financial year, we have to post many types of adjustment entries in tally because there are many such entries which we have to adjust, there are some expenses, there are some incomes. You can maintain the final books of your business only by making adjustments. Often all such adjustment entry is done by a C. A. After taking information from his client, he is finally able to make your balance sheet. Only after making the balance sheet, you know how much loss you have in business, how much profit you have made.

Examples of adjustment entry:

1. **Outstanding Expenses:** Expenses which are related to the current financial year but have not been paid in this financial year, then we call all such expenses as Outstanding Expenses.

Examples: Outstanding Salary, Outstanding Rant Etc.

2. **Prepaid Expenses:** expenses which are related to the next financial year but their
Payment is made in the current financial year, we know all such Expenses as Prepaid Expenses.
3. **Accrued Incomes:** Accrued income is such an income which is related to the current financial year but we do not receive it in the current financial year, so we get that income in the next financial year, so all such income is also known as outstanding income.

We have to make adjustment entry in our books for such income which we are going to receive in the next financial year. Because all such incomes whether they have been received or not, but if it is related to the current financial year, then we have to record them in our books.

4. **Unearned income/Income Received in advance:** There is such an income that we get from any of our parties in advance but in real it is related to the next financial year and that income is received by us in the current financial year only like advance commission, advance rent etc.